NEXATEL CUSTOMER CHURN ANALYTICS

Management Summary Report

To	Chief Customer Officer, NexaTel
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Reporting focus	Customer retention, service quality, revenue risk, network experience and campaign outcomes

Executive Summary

NexaTel's latest monthly retention position is broadly healthy, with March 2026 churn at 1.26%, below the management target of 2.1%, and customer retention at 98.74%. However, the direction of travel needs attention because churn increased versus February and March losses removed about ₹137.96K of monthly recurring revenue. The strongest churn patterns are concentrated among newer customers, monthly-billing customers and customers whose complaints remain unresolved. Service performance is mixed: average resolution time is healthy at 16.04 hours, but First Contact Resolution is only 40.41%, far below the 78% target. Contract renewal is another material weakness at 57.15%, compared with the 88% target, while churned customers also experience a higher dropped-call rate than active customers. Overall, NexaTel is retaining most of the base today, but the service and renewal gaps create clear risks to future retention and recurring revenue if they are not addressed.

Management KPI Snapshot

Metric	Current	Target	Status
Monthly churn rate	1.26%	< 2.1%	On target
Customer retention rate	98.74%	-	Healthy
Monthly recurring revenue	₹14.97M	-	Revenue base
Revenue lost to March churn	₹137.96K	-	At risk
First Contact Resolution	40.41%	> 78%	Below target
Average resolution time	16.04 hours	< 24h	On target
Contract renewal rate	57.15%	> 88%	Below target

Top 3 Findings

1. Early-life customers are the most vulnerable

Churn is highest among customers in their first 0-3 months at 74.90%. It then falls to 52.28% for 4-12 months, 36.18% for 1-3 years and just 8.33% after three years. This indicates that the first year - especially the first three months - is the most important period for preventing avoidable customer loss.

2. Monthly billing and unresolved complaints are strong warning signs

Monthly-plan customers churn at 22.54%, compared with 7.17% for annual-plan customers. The service pattern is equally clear: churn rises from 15.11% for customers with no unresolved complaints to 48.32% for customers with three or more unresolved complaints. Customers who combine short tenure, monthly billing and unresolved service issues should be treated as the highest-priority retention group.

3. Network and service experience are linked with churn

Churned customers have an average dropped-call rate of 2.59%, compared with 2.36% for active customers. At the same time, only 40.41% of support tickets are resolved on the first contact. These results suggest that customers who experience repeated service interactions or weaker network quality are more likely to leave, even though average ticket resolution time remains within target.

Risks Identified

- First Contact Resolution is 40.41%, far below the 78% target. This means many customers need repeated contact before their issue is solved.
- Contract renewal is 57.15%, well below the 88% target, putting postpaid, fibre and contract-led recurring revenue at risk.
- March churn removed approximately ₹137.96K of monthly recurring revenue. If churn continues to rise, the revenue impact will compound over time.
- The Mass segment has the highest churn rate at 26.67%, creating a large-volume retention challenge.
- Regional churn is concentrated in high-volume markets such as Maharashtra, Uttar Pradesh and Tamil Nadu, so local service and network issues should be monitored closely.

Opportunities

Retention effort should be focused where the combination of churn risk and revenue exposure is highest. The strongest opportunity is to intervene early in the customer lifecycle, particularly for monthly-plan customers who have unresolved complaints. A second opportunity is to protect higher-value revenue by prioritising Premium and Enterprise customers when service issues occur, even though their churn rates are lower than Mass. Campaign results also show that customers who accepted retention offers had the highest retained share at 86.82%, compared with 79.17% for Declined and 78.09% for No Response. This does not prove that the offer caused retention, but it supports using targeted offers as part of a broader save strategy.

Recommendations

1. Launch a 90-day new-customer retention programme. Trigger proactive onboarding calls or messages for customers in their first 90 days, especially those on monthly billing. Track 30-, 60- and 90-day churn separately so the team can see whether early-life retention is improving.
2. Create an unresolved-complaint save queue. Any active customer with two or more unresolved complaints should be flagged for priority follow-up, with a named owner and a clear closure deadline. Customers with three or more unresolved complaints should receive immediate escalation because their churn rate is 48.32%.
3. Improve First Contact Resolution before focusing only on faster closure. Average resolution time is already within target at 16.04 hours, but FCR is only 40.41%. Review the most common repeat-contact reasons, strengthen agent knowledge and authority, and track FCR by issue type and support team each week.
4. Strengthen renewal and plan-conversion activity. Contact customers 30-60 days before contract expiry and test incentives for annual-plan conversion, because annual-plan churn is materially lower than monthly-plan churn. Use renewal performance by product and segment as a management scorecard.
5. Combine network and churn monitoring in high-volume states. Prioritise Maharashtra, Uttar Pradesh and Tamil Nadu for joint retention and network review, and investigate customers showing both weak network experience and recent service complaints.

Suggested Management Priorities for the Next 90 Days

Priority	Immediate action	Success measure
New-customer retention	Target 0-3 month customers with proactive onboarding and save outreach.	Lower 0-3m churn
Complaint recovery	Escalate 2+ unresolved complaints and close root causes, not only tickets.	Higher FCR; lower repeat complaints
Renewal protection	Start pre-expiry renewal outreach and annual-plan conversion tests.	Renewal rate moving toward 88%
Revenue protection	Prioritise high-value customers when service or network risks appear.	Lower revenue lost to churn

Closing Assessment

NexaTel is not facing an immediate retention crisis: monthly churn is currently below target and the recurring revenue base remains strong. The main concern is that several leading indicators - weak First Contact Resolution, low contract renewal, unresolved complaints and a recent rise in churn - could weaken future performance if left unaddressed. The fastest path to protecting revenue is to focus retention effort on new customers, repeated service failures and contract renewal, while using the dashboard to track whether those actions reduce churn and revenue loss month by month.